Principles of Accounting –MDC-semester III -Non commerce students

Unit I

1. Define Accounting.
2. What is the need of Accounting
3. What is the scope of Accounting
4. Difference between book keeping & accounting.
5. Write about branches of Accounting.
6. What are the advantages and limitations of book keeping and Accountancy?
7. Accounting process
8. Write the concepts of accounting.
9. Write the conventions of accounting
10. Write about Accounting Standards
11. Journal
12. Ledger
13. Trial Balance
14. Objects of Trial Balance.
15. Methods of Trial Balance.
16. Explain various types of Accounts with suitable examples and rules.
17. What is the Double entry system?

1.Define Accounting.

Accounting begins where Book-keeping ends. Accountancy means the compilation of accounts in such a way that one is in a position to know the state of affairs of the business.

According to Smith and Ashburn: "Accounting is a means of measuring and reporting the results of economic activities."

According to R.N.Anthony: "Accounting system is am means of collecting, summarizing, analyzing and reporting in monetary terms, the information about the business."

According to American Institute of Certified Public Accountants(AICPA) : " The art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events, which are, in part at least, of a financial character and interpreting the results thereof."

2.What is the need of Accounting

The number of financial transactions in an organization depends upon the size of the organization. In small organizations, the transactions generally will be in thousands. But in big organizations they may be in lakes. As such it is humanly impossible to remember all these transactions. Further, it may not be possible to find out the final result of the business without recording and analyzing these transactions. Accounting came into practice as an aid to human memory by maintaining a systematic record of business transactions. The following are the reasons for the need for accounting.

1. To maintain accounting records
2. To calculate the results of operations
3. To ascertain the financial position
4. To communicate the information to the users.

3. What is the scope of Accounting

Accounting is a broad and multifaceted field with a wide range of applications and responsibilities. Its scope encompasses several key areas:

1. **Financial Accounting**: This involves recording, summarizing, and reporting financial transactions to external stakeholders such as investors, creditors, and regulatory agencies. It includes the preparation of financial statements (balance sheets, income statements, cash flow statements) that reflect the financial position and performance of an organization.
2. **Managerial Accounting**: Also known as management accounting, this area focuses on providing internal management with information to assist in decision-making. It includes budgeting, forecasting, performance analysis, and cost control.
3. **Cost Accounting**: A subset of managerial accounting, cost accounting deals specifically with tracking, analyzing, and controlling costs associated with producing goods or services. It helps businesses understand their cost structure and improve profitability. The object of this accounting is cost ascertainment, cost reduction and cost control.
4. **Auditing**: This involves the independent examination of financial statements and accounting records to ensure accuracy, compliance with accounting standards, and reliability. Auditors provide assurance to stakeholders that financial statements are free from material misstatements.
5. **Tax Accounting**: This area focuses on preparing and filing tax returns and planning for tax obligations. It involves understanding tax laws and regulations and ensuring compliance while seeking ways to minimize tax liabilities.
6. **Forensic Accounting**: Forensic accountants investigate financial discrepancies and fraud. They use their expertise to analyze financial records for legal proceedings and provide expert testimony in court.
7. **Accounting Information Systems**: This involves the design, implementation, and management of accounting software and systems that help in collecting, processing, and reporting financial data. It integrates technology with accounting practices.
8. **Governmental and Non- profit Accounting**: This area deals with the accounting practices specific to government entities and non- profit organizations, focusing on accountability and transparency in the use of funds.
9. **International Accounting**: With globalization, there is a need to understand and apply accounting principles across different countries. This includes adherence to international financial reporting standards (IFRS) and dealing with currency translation and international taxation issues.
10. **Ethics and Professional Standards**: Accounting professionals are expected to adhere to ethical standards and professional conduct. This includes ensuring integrity, objectivity, and independence in their work.

The scope of accounting is thus extensive, touching on many aspects of financial management, regulatory compliance, and strategic planning across various sectors and industries.

4. Difference between book keeping & accounting.

1. The object of bookkeeping is to record the transactions and preparation of ledgers, trial balance where as in accounting is to record, classify, summarize, analyse and interpret the business transactions.
2. Book keeping has limited scope concerned with recording, classifying and summarizing the business transactions whereas the scope of accounting includes bookkeeping plus analysis and interpretation.
3. Book keeping is limited to clerical work and is done by lower level of management whereas accounting is concerned with all levels of management.
4. Bookkeeping does not show the net results i.e net profit or net loss and financial position of the business whereas accounting analyzes the results of the business and shows the financial position of the business.

5. Write about branches of Accounting.

The important branches of accounting are given below.

1. **Financial Accounting:** The purpose of Accounting is to ascertain the financial results i.e., profit or loss in the operations during a specific period. It is also aimed at knowing the financial position, i.e., assets, liabilities and equity position at the end of the period. It also provides other relevant information to the management as a basis for decision-making. It is helpful for planning and controlling the operations of the business.
2. **Cost Accounting:** The purpose of cost accounting is to analyze the expenditure so as to ascertain the cost of various products manufactured by the firm and fix the prices. It also helps in controlling the costs and providing necessary costing information to management for decision making.
3. **Management Accounting:** Management is one of the branches of accounting. It provides the relevant information to the management for decision making. It provides necessary information to the management for discharging its functions. It provides necessary data for management for effective and efficient control of the business. Management accounting is not mere recording and compiling of income and expenditure but also an effective tool of forecasting, planning and regulating business or economic activity of a concern.

6. What are the advantages and limitations of bookkeeping and Accountancy?

Merits to Businessman:

1. A permanent record of all business transactions can be made.

2. The net profit or net loss of the business can be accurately ascertained.

3. Correct financial position of the business can be known at any time.

4. It helps in acquiring valuable information about the business.

5. It enables the business in calculating its tax liability.

6. It helps in buying and selling of business.

7. It helps in acquiring loans from banks, financial institutions etc.

8. It is useful in the calculation of goodwill of business.

9. It enables the business to secure control over the employees.

10. It facilitates comparison of accounts of various years.

Merits to Employees: Accounting records help the employees in all matters pertaining to their wages, salaries, bonus etc.

Merits to Consumers: Correct selling prices are fixed based on cost information provided by accounting records. Therefore consumers can get goods at reasonable prices.

Merits to Government:

1. On the basis of accounting records, the Government gives financial help to business units.

2. The industrial progress of the country can be judged on the basis of accounting records of the business units.

3. Accounting records help in making assessments.

4. It helps in providing licences.

5. Accounting records help in making amendments in business laws.

Merits to Investors: Prospective investors eager to know the past and present position of the companies in which they are interested to invest their money by purchasing shares. They can assess the future of the companies on the basis of their accounting records.

Merits to Management: Managements make new policies or make changes in existing methods based on accounting records.

Merits to Research Scholars: Accounting records help research scholars in giving suitable suggestions for improving the accounting system.

Limitations of Accounting

1. The transactions which cannot be expressed in terms of money have no place in accounting.

2. In case of joint stock companies a number of legal provisions of company law are to be complied with.

3. Cost concept is adopted in accounting. Fluctuations in prices are not considered. This is an important limitation.

4. An account has to make distinction between material and immaterial items. All material items must be disclosed in financial statements.

5. In accounting provisions are made for prospective losses. For example provision for bad and doubtful debts. But no provision is made for prospective profits.

7. Accounting process

Accounting process consists of the following stages.

1. Recording of entries for all business transactions in journal:

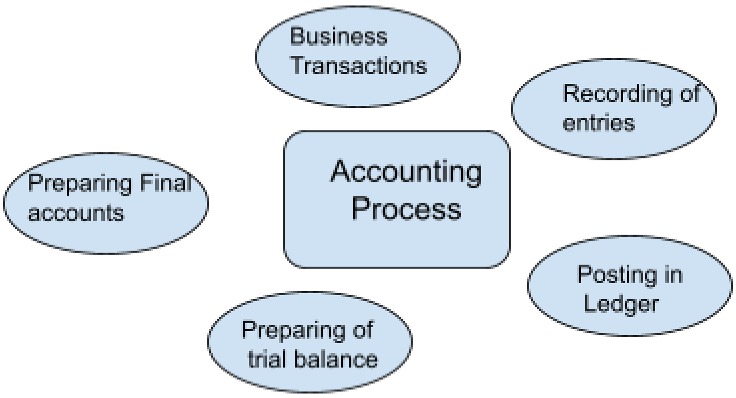
2. Posting entries into the ledger.

3. Balancing of accounts.

4. Preparing Trial Balance with the help of different accounts to know the arithmetical accuracy.

5. Preparing final accounts with the help of Trial Balance. -Trading and Profit and loss Account to know the Profit or loss. Balance Sheet to know the financial position.

Accounting process is also known as the Accounting cycle. Accounting process may be presented as follows



8. Write the concepts of accounting.

Concepts mean the conditions or assumptions to be followed while recording the transactions. On the other hand conventions mean customs or traditions based on which accounting statements are to be drawn.

Accounting Concepts:

1. **Business Entity Concept:** Under this concept business is treated as separate from the proprietor. If no such distinction is made there will be a sort of confusion. All the transactions are recorded in the books of the business and not the proprietor. The proprietor is treated as creditor for the business. Therefore the contributions of the proprietor will appear as liability in the balance sheet.
2. **Money Measurement Concept:** Transaction means exchange of money's worth. Hence, under this concept the transactions which can be measured in terms of money are only recorded. i.e. the transactions which cannot be measured in terms of money are totally ignored. For example cordial relations between employers and employees cannot find place in business records.
3. **Dual Concept:** Transaction means exchange of money or money's worth. Every transaction has two aspects 1. Receiving aspect and 2. Giving aspect. For example when a firm purchases machinery, it must have to pay cash. Therefore, two accounts have to be passed in the books of accounts. One for receiving the benefit (Machinery) and the other for giving the benefit (cash). Thus there will be a double entry for every transaction.

4. **Going concern Concept:** Under this concept, transactions are recorded assuming that the concern will continue to exist for a long time. While preparing final accounts, record is made for outstanding expenses and prepaid expenses under the assumption that the business will continue for a long time to come. This concept helps other undertakings to enter into contracts with the specific business unit.
5. **Cost Concept:** According to this concept, an asset is recorded at its cost-price,i.e., the price at which the asset was acquired. For example if an asset is actually bought for Rs.5, 00,000, whose market price is Rs.6, 00,000. Then it should be recorded at Rs.5, 00,000 only in the books of accounts and not at market price. The same practice would be continued even in figure with necessary adjustment for depreciation.
6. **Accounting Period Concept:** A businessman wants to know the result of his business after a certain period, usually one year. In some cases 6 months also. The period is called the accounting period. From the taxation point of view one year period is necessary and the accounts are closed on 31st March every year**.**
7. **Matching Concept:** Under this concept the expenses of a business for a particular period are compared or matched with the revenue of the same period in order to find out net profit or net loss. If revenue earned is more than expenditure, the result is net profit. On the other hand if the expenses (or costs) are more than e the revenue, the difference is net loss.
8. **Historical Record Concept:** The transactions which have actually taken place will be recorded under this concept. Mere possibilities of entering into contracts have no place in accounts. Thus w estimates of sales, purchases, budgets of expenditure and revenue are not recorded.
9. **Realisation Concept:** A business unit purchases goods or manufactures goods for sale. It earns profit on sale of goods. When an order is received from a customer, it does not mean that the haw revenue is earned. Unearned revenue should not be taken into account. Therefore under this concept only those revenues and incomes which have been actually realized are recorded.
10. **Accrual Concept:** A business unit has to consider revenue earned during a particular period (whatever it is received in cash or for not). Similarly, expenses incurred but not paid in cash are considered as "accrued and due". These accruals of income as well as expenses should be taken into account while preparing the final accounts.

9. Write the conventions of accounting

Accountancy is based on certain customs. The customs are also known as usages. Accountants have to adopt usages or customs. These are termed as conventions in accounting, which are used in preparation of final accounts.

The conventions are mainly divided into four types.

1. Conservatism
2. Disclosure
3. Consistency
4. Materiality.

1. **Conservatism:** Future is uncertain; therefore no one can estimate future events with perfect certainty in business, hence some provision is to be made to meet future uncertainties. Every prudent businessman makes an estimate of future losses and a provision is made for the same. For example provision for doubtful debts. Businessmen generally ignore profits. This tendency is known as conservatism.

2. **Disclosure:** While preparing financial statements, care should be taken to disclose all material information i.e. all important information should be disclosed along with details. As far as possible each item of expense and income should be disclosed separately. As per the provisions of Company Law, all information of material importance is to be shown compulsorily in the final accounts i.e. Balance sheet and profit and loss account, with appending notes wherever required.
3. **Consistency:** Continuance of one practice in a number of years indicates consistency. The accounting practice adopted in one year should be continued in future years also, then only the management can compare the results of one year with those of other years or with those of other organizations in the same area. There should not be frequent changes. Comparison of accounts becomes difficult, if the accounts are prepared on different principles.
4. **Materiality**: Materiality refers to relative importance. Accountancy records should be made of material facts. Immaterial or un- important items may be ignored. Sometimes immaterial items may be mixed with material items with footnotes. However, the term materiality is a relative one. Material importance to one business unit may be of less importance to another.

10.Write about Accounting Standards

Accounting is defined as a system based on a number of principles.These principles are known as Generally Accepted Accounting Principles (GAAP). The basic objective of these principles is to bring uniformity and comparability in the financial statements. These are applied in different places. In order to ensure stability and uniformity in the preparation of accounts, accounting standards are formulated.

Accounting standards are regarded as the written statements containing different rules, regulations, guidelines issued by the accounting institutions for the purpose of preparing financial statements. The main objective of accounting standards is to frame guidelines, terms and conditions for better analysis and interpretations of financial statements. In India, accounting standards are issued by the Institute of Chartered Accountants of India (ICA).

Objectives of Accounting Standards: The Following are the basic objectives of accounting standards:

- ☐ To bring uniformity in the accounting system
- ☐ To improve the accuracy, effectiveness and reliability of the financial statements
- ☐ To simplify the accounting information for the convenience of users
- ☐ To prevent fraud and manipulations in the business
- ☐ To issue guidelines for an effective and efficient audit work

11. Journal

In Latin 'Journ' means a day. Therefore 'Journal' means a day book. Day to day transactions are recorded in journal. Every trans- action is first recorded in the journal, hence it is called the book of original entry. Journal is the principal book of accountancy.

When- ever transaction takes place, it is recorded directly in the journal, Both the aspects of the transaction are recorded in a systematic way. Entering a business transaction in the journal is known as 'journal entry'.

Form of Journal

Date	Particulars	L.F. No	Debit (Rs)	Credit (Rs)

12. Ledger

Ledger is the book which contains accounts. It is also known as 'Principal or Chief book of accounts. Every entry made in the journal must be posted into the ledger.

Ledger contains all the accounts of a business enterprise whether Personal, Real or Nominal. The procedure of writing up the accounts is known as posting. Ledger contains an account for every person, thing, item of profit or loss incurred during the year. In respect of every journal entry, one ledger account has to be debited and another ledger account has to be credited.

Dr	Form of Account						Cr
Date	Particulars	Folio No	Amount	Date	Particulars	Folio No	Amount

13. Trial Balance

Trial Balance is a statement of debit and credit balances of venous ledger accounts. It is prepared to check the arithmetical accuracy of the accounts prepared. Trial Balance can be prepared at the end of any fixed period of time. Generally it is Prepared at the end of the financial year i.e. 31st March, after the counts have been closed.

Form of Trial Balance			
S.No	Name of Account	Debit Balance	Credit Balance

14. Objects of Trial Balance.

The following are the basic objects of Trial Balance.

1. Check the arithmetical accuracy of the books maintained.

2. It provides a summary of all transactions of an accounting period.

3. It provides the basis for preparation of financial statements viz profit & loss a/c and balance sheet.

15. Methods of Trial Balance.

Trial Balance can be prepared in two ways.

1. Totals method
2. Net balances method.

1. Totals method: This method is called Gross trial balance method. Under this method the total of debit and credit sides of the account are shown in trial balance. This method is now out of use or rarely used.

2. Net balances method: Under this method the net balance of the accounts were ascertained and their balances were shown in trial balance. This is the most popular method of use.

16. Explain various types of Accounts with suitable examples and rules.

Classification of Accounts: Accounts are broadly divided into two classes.

1) Personal accounts

2) Impersonal accounts : Impersonal accounts are again subdivided into

a) Real accounts and

b) Nominal accounts.

Therefore All the accounts can be divided. In to Personal, Real and Nominal Accounts.

1. **Personal Accounts:** The accounts relating to persons are called personal accounts. Persons include individuals, firms and companies also. When transactions take place with any individual, firm or company, a separate account is prepared for him or for it. For example, Rama's account, G Krishna & Son's account, Johnson & Co. Ltd's account etc.

Rule: Debit the receiver; Credit the giver

2. **Real Accounts:** These are the accounts which relate to as- sets and properties. These accounts are also called property accounts. For example accounts relating to Land, Buildings, Plant and Machinery, Goodwill, Furniture, Cash, Motor Vehicles, Stock, Investments etc. A separate account is to be opened for each asset.

Rule: Debit what comes in; Credit what goes out.

3. **Nominal Accounts:** Accounts relating to expenses, losses, Incomes and gains are called Nominal accounts. For example salaries paid, wages Paid, rent received, Interest received etc. A separate account is opened for each of the items.

Rule: Debit all expenses and losses: Credit all incomes and gains

17. What is the Double entry system?

Double entry system of book-keeping is the only scientific system of recording business transactions. Transaction refers to transfer of money or money's worth from one person to another person. Every business transaction has two aspects (1) Receiving aspect and (2) Giving aspect. The double entry system records both the aspects of the transaction, hence it is rightly called as "Double Entry System". Under this system every transaction affects two accounts and, therefore, its record must be made in both the accounts. Therefore, the double entry system means "Record of both the aspects or of two-fold aspects of each transaction". It has a principle of “Every debit having a corresponding credit and every credit having corresponding debit”